

Zion HealthShare vs Traditional Insurance

A COST COMPARISON

Zion HealthShare strives to simplify healthcare through our simple, inclusive, and transparent medical cost-sharing community. In addition to saving money in monthly costs, a membership with Zion HealthShare saves money when medical needs arise. The following case study provides an example of the costs a typical American family might pay in medical expenses every year with no health coverage, insurance, and a Zion HealthShare membership.

Demographics

A family of four not receiving subsidy or Medicaid benefits. The adults are both aged 45.

Assumptions

Costs for this case study are based on average traditional insurance costs in 2019, as reported by eHealth Insurance.

Traditional Insurance Costs

- Monthly premium: \$1,300 (family)
- Deductible: \$4,000 individual, \$8,000 family
- Out-of-pocket maximum: \$8,150 individual, \$16,300 family
- Coinsurance: 30%

Zion Healthshare Costs

- Monthly contribution: \$625 (family Direct Membership)
- IUA: \$1,000
- Maximum IUAs per 12-month period: 3

A Year of Medical Expenses

FOR A FAMILY OF FOUR

Meet the Jones', Taylor, Morgan, Adrian, and Skyler. The following table shows some average medical expenses that they might experience over the course of a year. Each column represents what an uninsured patient, A Zion HealthShare member, and a traditional customer would pay for each situation.

ANNUAL COSTS	UNINSURED SELF-PAY	ZION HEALTH MEMBERSHIP	TRADITIONAL INSURANCE
Monthly premium/contribution	\$0	\$7,500 (\$625/month)	\$15,600 (\$1,300/month)
Four preventative visits (\$125 per visit)	\$500	\$0 ¹	\$0
Eight sick visits (\$200 per visit)	\$1,600	\$1,600 or \$0 for telemedicine visits	\$400 (\$50 co-pays)
\$13,000 hospitalization for accident (Taylor)	\$13,000	\$1,000 IUA	\$6,700 (deductible + coinsurance)
15 chiropractic visits as result of hospitalization (\$75 per visit)	\$1,125	\$0	\$750 (\$50 co-pays)
Two prescriptions ³ (Metformin & Atorvastatin)	\$156	\$108	\$480
\$5,000 outpatient procedure (Taylor)	\$5,000	\$1,000 IUA	\$410 (spouse reaches out-of- pocket max)
\$8,000 hospitalization for accident (Taylor, separate incident)	\$8,000	\$1,000 IUA	\$0 (out-of-pocket max already reached)
Total annual healthcare expenses	\$29,381	\$11,808	\$24,290

1. One preventative visit per member. A second visit for the same member would be their responsibility.
2. Members are responsible for the costs of their sick visits, but Teledoc gives them access to virtual sick visits for no cost.
3. Price estimates are based on GoodRx coupons for self-pay patients, Rx Share rates for Zion HealthShare members, and \$20 copays for insurance customers

CONTRIBUTING FACTORS

This example represents a worst-case scenario as a Zion HealthShare member.

1. In this example, only one member of the family experienced large medical needs. If another family member were to have an accident, the family deductible and out-of-pocket maximum could result in an additional expense of over \$7,000 for insurance customers. A Zion HealthShare member would pay the same three IUAs.
2. We assume these events all took place within a single calendar year. Insurance deductibles reset on an annual basis, even if a member has ongoing treatment for the same medical condition. With Zion HealthShare's IUA, members do not have an annual reset; instead, they are responsible for a maximum of 3 IUAs in a 12-month rolling period, beginning at the date of their first need.
3. For long-term needs, like a cancer diagnosis, an insurance deductible and out-of-pocket max will reset each year. With a Zion HealthShare membership, however, the IUA will not need to be paid again for the same need until the member has been treatment-free for 12 months.
4. Some chronic or serious pre-existing conditions may not be shareable with Zion HealthShare. Traditional insurance may be the best option for members with conditions that Zion HealthShare does not share. However, depending on the out-of-pocket expenses for such cases, the savings in monthly premiums compared to Zion HealthShare contributions may make up the difference.

Individuals whose income level qualifies them for insurance subsidies may find more cost-effective insurance options.

SUMMARY

SELF-PAY PATIENTS

Self-pay patients lack of monthly costs is significant enough to offset the price of routine care, even compared to insurance. However, this group is at the most risk when high-cost medical events occur.

ZION HEALTHSHARE MEMBERS

Zion HealthShare members are responsible for some smaller medical costs, but their lower monthly contributions are more than enough to make up the difference, even with many sick visits. Zion HealthShare's IUA model saves members a significant amount compared to self-pay patients and insurance deductibles when large medical events occur.

TRADITIONAL INSURANCE CUSTOMERS

Traditional Insurance customers pay significantly more than Zion HealthShare members, even in this worst-case scenario. It is probably eye opening to see that insurance is the highest-cost solution in many situations.

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